

High Tide Inc. (NASDAQ: HITI) — Investment Thesis

June 16, 2026 | Updated post-H1 FY2026 (Q2 ended April 30, 2026)

Executive Summary

High Tide Inc. is the largest non-franchised cannabis retailer in Canada, operating 228 Canna Cabana stores across five provinces, supplemented by a global e-commerce platform (Grasscity, Smoke Cartel, Daily High Club) and a strategically significant medical cannabis distribution business in Germany (Remexian). The company has grown revenue from C\$181M (FY2021) to C\$594M (FY2025) through a combination of organic store openings, a disruptive discount club model (Cabana Club, 2.65M Canadian members), and disciplined M&A. Q2 FY2026 delivered record revenue of C\$179.3M (+30% YoY, fastest growth in 11 quarters), bringing H1 FY2026 revenue to C\$357.6M (+28% YoY), with Remexian contributing C\$31.6M in Q2 at 27% gross margin. Despite operating in a sector plagued by capital destruction, High Tide has delivered consecutive quarters of positive Adjusted EBITDA and consistent positive free cash flow, including its first-ever quarterly net profit in Q2 FY2026.

Q2 FY2026 Results (quarter ended April 30, 2026 — reported June 15, 2026). HITI delivered record quarterly revenue of C\$179.3M (+30% YoY, fastest growth in 11 quarters), gross profit of C\$48.4M (27.0% GM, vs. 26% PY), operating income of C\$6.1M (+554% YoY), and Adjusted EBITDA of C\$13.9M (+73% YoY). The company reported its first-ever quarterly net profit of C\$24K (vs. net loss of C\$2.8M in Q2 FY2025). Free cash flow was C\$1.5M; cash stood at C\$36.5M. For H1 FY2026, revenue was C\$357.6M (+28% YoY) and Adjusted EBITDA was C\$25.4M (+67% YoY). Same-store sales came in at -1.2% YoY in Q2 — growth in the current period is driven by store count expansion (228 stores vs. 221 a year prior) and Remexian, not SSS. Cabana Club now has 2.65M members (+39% YoY) and 178K ELITE paid members (+84% YoY). White-label remains at 1.7% of sales (long-term target ~20%). HITI also announced approval of a C\$40M senior secured credit facility from BMO, and has not issued equity via the ATM in five consecutive fiscal quarters. The stock rose ~16% on the earnings print.

The stock currently trades at US\$2.44 on NASDAQ (approximately C\$3.44 at ~1.41 USD/CAD, as of June 16, 2026), implying a market cap of ~C\$302M and an enterprise value of ~C\$344M. This prices the company at ~0.51x EV/Revenue (on LTM revenue of C\$671M) and ~7.1x EV/Adj. EBITDA — a significant discount reflecting cannabis sector pessimism and small-cap illiquidity, and one that understates the company's value once the model's intentionally conservative assumptions are understood.

Importantly, the model only reflects operations in Canada and Germany — the company's two existing geographies — and is intentionally conservative even with respect to those markets, using below-consensus same-store sales growth (~0% base near-term, reflecting Q2 FY2026 actuals of -1.2% SSS) and gradual margin assumptions. Our 10-year bottom-up sub-segment margin DCF, anchored in store-count growth, revenue per store, same-store sales momentum, seven distinct sub-segment gross margins, and a Remexian 49% buyout in FY2028, yields the following DCF-implied share prices at 12% WACC (C\$, diluted):

Scenario	Implied Price	Upside	FY2030E Revenue	FY2035E Revenue	FY2035E EBITDA Margin	Rev CAGR (FY25-30)
Bull	C\$7.59	+121%	C\$1,140M	C\$1,367M	12.2%	~13.9%
Base	C\$5.53	+61%	C\$1,054M	C\$1,182M	11.0%	~12.1%
Bear	C\$3.62	+5%	C\$896M	C\$921M	9.9%	~8.6%

The base case of C\$5.53 implies approximately 61% upside from the current C\$3.44 (US\$2.44 as of June 16, 2026). The Bull case at C\$7.59 implies ~121% upside. Even the Bear case at C\$3.62 implies ~5% upside. The model covers only Canada and Germany, entirely excluding UK/Poland/France expansion, and uses conservative margin and same-store sales growth assumptions. The 10-year structure reduces terminal value dependency to ~57% of enterprise value (vs. ~74% in a typical 5-year model), meaning more than 40% of the valuation is backed by explicit year-by-year FCF projections. Germany execution has been validated by strong Q2 results (C\$31.6M revenue, 27% gross margin, 14% German market share), and the Remexian 49% buyout in FY2028 eliminates the NCI drag, significantly boosting equity FCF from FY2029 onward.

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Company Overview

What HITI does. High Tide is a vertically-oriented cannabis consumer company. Its core business is Canadian cannabis retail through the Canna Cabana brand. Beyond retail, HITI operates a global e-commerce platform selling cannabis accessories and CBD products, a data analytics business (Cabanalytics), and since September 2025, a medical cannabis distribution business in Germany through its 51% stake in Remexian Pharma.

Why consumers choose Canna Cabana. The company pioneered a Costco-like discount club model for cannabis. Members of Cabana Club receive consistently lower prices — the company has demonstrated that same-store sales at Canna Cabana locations have grown over 130% since the discount club model launched, while the average Canadian cannabis retailer experienced a ~10% decline. This volume-over-margin approach drives foot traffic, builds loyalty, and generates valuable consumer data.

Scale as of FY2025 (year ended October 31, 2025):

Metric	FY2025
Stores (Canna Cabana)	218
Revenue	C\$594.0M
Gross Profit	C\$153.5M
Gross Margin	25.8%
Adjusted EBITDA	C\$38.2M
Net Income (GAAP)	(C\$51.4M)
Free Cash Flow	C\$12.0M
Cabana Club Members (Canada)	2.58M (FY2025); 2.65M+ (Q2 FY2026)
ELITE Members (Canada)	162K (FY2025); 178K+ (Q2 FY2026)
Market Share (5 provinces)	12%
Revenue per Store (annualized)	~C\$2.7M
Same-Store Sales Growth	+4.1% (FY2025); -1.2% Q2 FY2026 (growth driven by store count + Germany)

Key Concepts an Investor Must Understand

1. The Discount Club Model Is the Moat

High Tide's Cabana Club is not merely a loyalty program — it is a strategic weapon that redefines the unit economics of cannabis retail. By offering members consistently lower prices, HITI sacrifices some gross margin but generates dramatically higher traffic and volume per store. The results are stark:

- Canna Cabana stores generate 2.2x the revenue of the average Canadian cannabis store
- Same-store sales have grown >130% since the model launched, vs. industry-wide declines
- 90%+ of in-store sales come from Cabana Club members, creating sticky, repeat-purchase behavior

The 2.65 million Canadian Cabana Club members (plus 178K paid ELITE members) represent a data asset and a barrier to competitive entry. ELITE members pay a subscription fee and receive deeper discounts — a direct analogue to Costco's membership model.

2. GAAP Net Income Is Distorted by Non-Cash Charges

HITI reported a GAAP net loss of C\$51.4M in FY2025. Yet it generated C\$38.2M in Adjusted EBITDA and C\$12.0M in free cash flow. The disconnect is explained by:

- **Depreciation & amortization:** C\$24.3M — driven by right-of-use lease assets and intangibles from acquisitions
- **Non-cash impairments:** The e-commerce segment (Grasscity et al.) carried a significant non-cash impairment in Q4 FY2025
- **Fair value changes on derivatives:** Non-cash mark-to-market adjustments on convertible instruments
- **Stock-based compensation:** C\$3.9M — notably modest compared to peers

The appropriate lens for evaluating HITI's profitability is Adjusted EBITDA and free cash flow, not GAAP net income.

3. Canadian Cannabis Retail Is Fragmented — Consolidation Favors Scale

Canada has approximately 3,500+ licensed cannabis retail stores across all provinces. Most are single-location operators or small chains. High Tide's 228-store footprint gives it roughly 12% market share in the five provinces where it operates — the largest single operator, yet still a small fraction of the total market.

Scale advantages compound: better purchasing terms from LPs, Cabanalytics data leverage, brand recognition, and the ability to spread fixed costs (technology, corporate overhead) across a larger store base. As weaker operators exit — a process accelerated by price competition and regulatory burdens — HITI is positioned to absorb market share both organically and via opportunistic acquisition.

4. E-Commerce Is a Drag — but Shows Signs of Stabilization

The e-commerce segment (Grasscity.com, Smoke Cartel, Daily High Club, Dankstop) contributes only ~2-3% of revenue and has been the source of non-cash impairments. Management has acknowledged the segment's underperformance and is evaluating strategic options, with CEO Raj Grover exploring "strategic options including potential transactions."

However, there are early signs of a potential rebound. Platform relaunches have shown conversion rates up 30-50% and orders up 30%, and Q1 FY2026 marked the first sequential revenue increase in 2 years. E-commerce could also become meaningful for CBD sales in the US if regulatory clarity improves following the rescheduling executive order. The risk of a write-down has already materialized. What remains is optionality: the Grasscity brand has global recognition in the accessories space, and a potential divestiture or revitalization could monetize the asset while removing (or reversing) a margin drag.

5. Cabanalytics Is a Hidden High-Margin Asset

High Tide's Cabanalytics platform monetizes the purchasing data generated by 2.65 million Cabana Club members. Licensed producers (LPs) and brands pay subscription fees for anonymized consumer insights — purchase patterns, brand preferences, regional trends — that help them forecast demand and allocate marketing spend.

In FY2025, data/advertising/other revenue reached C\$47.7M (Q4 alone was C\$13.1M, +20% YoY). This segment operates at significantly higher margins than retail and is growing faster. It comprises three distinct sub-segments: Cabanalytics/advertising (C\$15M at ~65% gross margin), ELITE membership fees (C\$5M at ~85% gross margin from 162K paid members), and other income (C\$28M). As the member base expands and advertising capabilities mature, this segment is a key driver of blended margin improvement.

6. Germany (Remexian) — Q2 FY2026 Confirms Acceleration

In September 2025, HITI acquired a 51% stake in Remexian Pharma for EUR 26.4M, making High Tide one of the largest importers and distributors of medical cannabis in Germany (population 83M). This is not optionality — it is a material, revenue-generating business that transforms HITI's financial profile, and both Q1 and Q2 FY2026 results have validated this thesis with accelerating momentum.

Q2 FY2026 actuals. Remexian delivered C\$31.6M in Q2 revenue (+26% QoQ vs. C\$25M in Q1), at a 27% gross margin — up sharply from 12% in Q1 — confirming that the supply chain normalization anticipated in the Q1 update has materialized. Remexian distributed 7.6 tonnes (+49% YoY, +21% QoQ) and held 14% German market share (three months ended March 2026). German medical cannabis imports surged from 73 tonnes (2024) to 201 tonnes (2025) — nearly 3x growth — and the market is projected to grow toward 600 tonnes annually. Our base model now assumes Germany FY2026 revenue of C\$130M at 24% gross margin (revised from ~C\$105M annualized at 21% assumed post-Q1).

Supply chain normalization confirmed. Volume was temporarily depressed in September-November 2025 due to a Portugal supply chain bottleneck (regulatory processing delays, not demand weakness). HITI has secured Canadian biomass at 30-40% lower cost than Remexian

previously paid, and the Q2 margin jump from 12% to 27% demonstrates these supply routes are now functioning at scale.

Consolidation treatment. HITI consolidates 100% of Remexian's revenue (as controlling shareholder), with the 49% non-controlling interest (NCI) deducted at the FCF level — 49% of Germany EBITDA is removed from free cash flow to equity. The minority interest is also subject to a call/put option: HITI can acquire the remaining 49% after September 2027 at 3.64-4.0x trailing EBITDA (minimum floor EUR 15M).

In December 2025, HITI opened its first European Canna Cabana flagship in Berlin. Germany legalized recreational cannabis possession in April 2024, though commercial recreational retail pilots have not yet launched. Our model assigns substantial revenue from Germany's existing medical cannabis market and conservative growth, with recreational upside as additional optionality.

7. The US Opportunity Is a Free Call Option

High Tide's US presence today is limited to e-commerce (CBD products via NuLeaf Naturals and FAB CBD) and accessories. However, the company has stated it is assessing US licensing pathways for Canna Cabana retail while maintaining NASDAQ and TSX compliance.

The rescheduling executive order signed by President Trump in late 2025 represents a potentially transformative regulatory shift. If federal cannabis legalization or rescheduling enables Canadian operators to enter the US market, HITI's proven retail playbook — discount club model, data-driven merchandising, efficient store buildout — could translate directly. Our model does not include US cannabis retail revenue, meaning any such entry represents pure upside to the thesis.

8. Balance Sheet Has Improved but Carries Some Debt

Unlike some debt-free peers, HITI has a modest debt load:

Item	FY2025 (C\$M)
Cash & equivalents	\$47.9
Total debt	\$78.4
Net debt	\$42.0
Total assets	\$349.1
Total liabilities	\$246.3
Shareholders' equity	\$102.8
Debt/Equity	1.07x
Current ratio	1.37x

The EUR 26.4M Remexian acquisition added to the debt profile, but the company repaid C\$13.0M of legacy debt (Opaskwayak Cree Nation) in December 2024 and closed a C\$15M subordinated debt facility. In June 2026, HITI secured a new C\$40M senior secured credit facility from BMO, providing liquidity headroom. With C\$36.5M in cash (Q2 FY2026) and consistent FCF generation, the balance sheet is manageable. Net debt stands at C\$42M (vs. C\$30.5M at FY2025 year-end), and the company has not issued equity via the ATM in five consecutive fiscal quarters.

Growth Strategy / Key Opportunities

1. Store-Count Expansion in Canada

HITI has guided for 20-30 new Canna Cabana locations in calendar 2026, with the long-term target of >350 stores. The company currently operates 228 stores (229 announced post-Q2). The company favors organic openings (which cost C\$300-400K per store and reach profitability within 6-9 months) over acquisitions. Our base model assumes 18 new stores in FY2026 (trimmed from 23 in the prior model, reflecting the year-to-date pace), then 25-27 stores per year thereafter, reaching ~341 stores by FY2030. Key growth provinces include Ontario (10% share, massive room for growth) and British Columbia.

2. Same-Store Sales Growth via Cabana Club

With 12% market share and 2.65M members, the Cabana Club flywheel continues to drive traffic. ELITE membership (paid tier, now 178K members, +84% YoY) provides higher-margin recurring revenue plus deeper member engagement. Near-term same-store sales are reset to ~0% (Q2 FY2026 came in at -1.2% YoY), with growth in the current period driven primarily by store count expansion and Germany rather than SSS. As membership deepens and the illicit market recedes, SSS should re-accelerate over the medium term.

3. Cabanalytics and Advertising Revenue

The Cabanalytics data platform and advertising offerings (brands paying to reach the Cabana Club member base) represent a high-margin revenue stream that scales with the membership base. Cabanalytics/ads revenue was ~C\$15M in FY2025 at an estimated ~65% gross margin — substantially above the 25% blended retail margin. Growth toward C\$40-70M by 2030 would meaningfully lift blended margins, as each incremental dollar of Cabanalytics revenue contributes ~2.5x more gross profit than a dollar of retail revenue.

4. White-Label / Private-Label Brands

HITI has been expanding its portfolio of proprietary cannabis brands sold exclusively through Canna Cabana. In FY2025, white-label products represented ~1.4% of retail revenue (~C\$7.2M) at an estimated ~31.5% gross margin — approximately 6 percentage points above the 25.2% margin on third-party retail products. As of Q2 FY2026, white-label remains at ~1.7% of total sales, with the

long-term target of ~20% of total sales. Management has indicated plans to accelerate white-label penetration, targeting a meaningful ramp toward 10-20% of retail revenue by 2030 (see Bottom-Up Margin Model).

5. International Expansion (Germany and Beyond)

The Remexian platform provides distribution infrastructure for medical cannabis across Germany. The Berlin Canna Cabana flagship tests the retail concept in Europe. UK entry is planned within the next ~12 months via M&A — this is NOT reflected in the financial model. Poland and France are later-stage targets for expansion and are also NOT reflected in the model. Adjacent markets (Netherlands, Czech Republic) remain possible as regulatory frameworks evolve.

6. US Market Entry

Depending on federal regulatory developments, HITI could deploy its proven retail model in US states. The NuLeaf Naturals and FAB CBD brands provide existing US brand equity and regulatory compliance infrastructure.

Scenario Analysis

Bull Case: Accelerated Store Growth, Strong Same-Store Sales, Germany Scales

Assumptions: 20 new stores in FY2026 then 25-30/year (reaching ~349 by 2030), same-store sales growth of 1.0% rising to 2.0% then easing to 1.5%, Germany revenue reaching C\$135M-225M in FY2026-FY2030 at 25-26% gross margins (reflecting H1 FY2026 actuals), sub-segment gross margins driving blended GM from 26.0% (2026) to ~27.6% (2030) and higher through Phase 2. EBITDA margin expands to ~10.6% by FY2030 and ~12.2% by FY2035. Remexian 49% buyout at 4x trailing EBITDA (C\$91.2M) in FY2028; NCI = 0 from FY2029. White-label reaches 22%, ELITE reaches 1.25M members by FY2035.

Narrative: Canadian cannabis market matures with weaker operators exiting, leaving HITI as the dominant consolidator. Cabana Club reaches 4M+ Canadian members. Germany's medical market continues to expand and Remexian captures growing market share — fully owned from FY2029 after the buyout. White-label penetration, Cabanalytics scaling, and ELITE membership growth drive sustained margin expansion through the 10-year projection period.

Metric	FY2026E	FY2030E	FY2035E (Terminal)
Stores	238	349	—
Revenue	C\$788M	C\$1,140M	C\$1,367M
— of which Germany	C\$135M	C\$225M	—

Metric	FY2026E	FY2030E	FY2035E (Terminal)
Gross Margin	26.0%	~27.6%	~29.2%
EBITDA	C\$59M	C\$121M	~C\$166M
EBITDA Margin	7.5%	~10.6%	~12.2%
FCF (Equity)	C\$28M	C\$89M	C\$128M

FY2028 FCF impacted by Remexian 49% buyout (C\$91.2M at 4x EBITDA). NCI = 0 from FY2029 onward (100% ownership).

DCF Implied Price: C\$7.59 (diluted, 12% WACC, TV 57.1% of EV)

Base Case: Steady Execution

Assumptions: 18 new stores in FY2026 then 25-27 per year (reaching ~341 by 2030), same-store sales ~0% near-term (reset from +1.0% prior; Q2 FY2026 came in at -1.2%), Germany revenue reaching C\$130M in FY2026 at 24% GM and growing to C\$200M by FY2030, seven sub-segment gross margins modeled independently (see Bottom-Up Sub-Segment Margin Model). OpEx/revenue improves from 19.5% to 18.5% (operating leverage confirmed by H1 FY2026 results, fading to 17.5% by FY2030). EBITDA margin expands from ~7.2% (FY2026E) to ~9.2% (FY2030) through Phase 1, then to 11.0% by FY2035 (terminal) through white-label ramp, ELITE growth, and OpEx leverage. Remexian 49% buyout at 4x trailing EBITDA (C\$77.0M) in FY2028; NCI = 0 from FY2029.

Narrative: HITI continues its proven Canadian playbook. Market growth slows to low-single-digits but HITI gains share through store count. Cabana Club membership grows toward 3.5M. Remexian has normalized from supply disruptions and is growing with the German medical cannabis market — fully owned from FY2029 after the buyout. White-label penetration ramps from ~1.7% to 20% of retail revenue, ELITE grows from 178K to 1M members, and Cabanalytics scales with the member base. These high-margin mix shifts, combined with OpEx moderation (18.5% to 17.5%), drive the EBITDA margin from 7.2% to 11.0% over the 10-year horizon.

Metric	FY2026E	FY2030E	FY2035E (Terminal)
Stores	236	341	—
Revenue	C\$773M	C\$1,054M	C\$1,182M
— of which Germany	C\$130M	C\$200M	~C\$255M
Gross Margin	25.7%	~26.7%	28.0%
EBITDA	C\$56M	C\$97M	C\$130M
EBITDA Margin	7.2%	~9.2%	11.0%
FCF (Equity)	C\$25M	C\$67M	C\$96M

FY2028 FCF impacted by Remexian 49% buyout (C\$77.0M at 4x EBITDA). NCI = 0 from FY2029 onward (100% ownership). White-label at 20%, ELITE at 1M members, Germany EBITDA at C\$30M (100% owned) by FY2035.

DCF Implied Price: C\$5.53 (diluted, 12% WACC, TV 56.9% of EV)

Bear Case: Market Headwinds, Margin Pressure

Assumptions: 16-22 new stores/year (reaching ~316 by 2030), same-store sales slightly negative (-1.5% to -0.5%), Germany revenue growing modestly to C\$120M-150M, Germany gross margins at 22%, sub-segment margins compressed. EBITDA margin reaches only ~7.6% by FY2030 and ~9.9% by FY2035. Remexian 49% buyout at 4x trailing EBITDA (C\$44.8M) in FY2028. Competitive pressure from new entrants in the German import/distribution market.

Narrative: Canadian cannabis market enters a deflationary phase as oversupply persists. Regulatory restrictions limit store openings in Ontario. Price wars erode margins. Germany's recreational rollout stalls and Remexian faces competitive pressure from new entrants in the import/distribution market. E-commerce losses persist. HITI remains FCF positive but growth decelerates sharply. Even in this scenario, the Remexian buyout proceeds, eliminating NCI from FY2029.

Metric	FY2026E	FY2030E	FY2035E (Terminal)
Stores	234	316	—
Revenue	C\$748M	C\$896M	C\$921M
— of which Germany	C\$120M	C\$150M	—
Gross Margin	~25.3%	~25.6%	~26.9%
EBITDA	C\$47M	C\$68M	~C\$91M
EBITDA Margin	~6.3%	~7.6%	~9.9%
FCF (Equity)	C\$20M	C\$43M	C\$65M

FY2028 FCF impacted by Remexian 49% buyout (C\$44.8M at 4x EBITDA). NCI = 0 from FY2029 onward (100% ownership).

DCF Implied Price: C\$3.62 (diluted, 12% WACC, TV 55.8% of EV)

DCF Valuation Methodology

Approach

We use a 10-year two-phase Discounted Cash Flow with a Gordon Growth terminal value on year-10 FCF. Key parameters:

Parameter	Value	Rationale
WACC	12.0%	CAPM: 4.3% risk-free + 1.01 beta x 5.5% ERP + 2% cannabis/small-cap premium = ~11.9% (rounded to 12%)
Terminal Growth	2.5%	Below nominal GDP; reflects maturing Canadian cannabis market with limited secular tailwinds
FCF Definition	EBITDA - D&A + D&A - Capex - NCI - Taxes - Finance Costs	FCF to equity after NCI deduction (49% of Germany EBITDA, 2026-2028 only)

Two-phase structure: - **Phase 1 (2026-2030):** Detailed bottom-up sub-segment model with store-level revenue build, seven sub-segment gross margins, NCI deduction (2026-2028), and Remexian 49% buyout in FY2028. Revenue built from store count x revenue per store + Germany + e-commerce + Cabanalytics + ELITE. - **Phase 2 (2031-2035):** Simplified fade toward terminal operating state — white-label penetration reaches 20% of retail revenue, ELITE reaches 1M members, Germany EBITDA reaches C\$30M (100% owned), OpEx moderates from ~17.5% to 17% of revenue. Revenue growth decelerates to ~2% as the model approaches terminal state. - **Terminal value:** Gordon Growth applied to year-10 (FY2035) FCF.

Remexian Buyout (FY2028)

HITI exercises its call option for the remaining 49% of Remexian at 4x trailing EBITDA. The buyout cost varies by scenario: Bull C\$91.2M, Base C\$77.0M, Bear C\$44.8M. This is treated as a one-time cash outflow in FY2028, reducing that year's FCF to equity. From FY2029 onward, Germany is 100% owned — all Germany FCF flows to HITI with no NCI deduction, significantly boosting equity FCF in the remaining projection years.

Base Case Phase 1 Projected Financials (C\$K) — Detailed

Year	Revenue	Gross Profit	GM%	EBITDA	EBITDA%	NCI	FCF (Equity)	Stores
2026	772,600	198,400	25.7%	55,500	7.2%	5,733	25,057	236
2027	845,300	220,700	26.1%	66,000	7.8%	7,595	32,178	261
2028	919,600	242,000	26.3%	76,500	8.3%	9,432	-38,411*	288
2029	989,600	262,500	26.5%	86,400	8.7%	0**	57,682	315
2030	1,053,700	281,700	26.7%	97,300	9.2%	0	66,727	341

*FY2028 FCF includes Remexian 49% buyout cost of C\$77.0M (4x trailing Germany EBITDA of ~C\$19M). **NCI = 0 from FY2029 onward — Germany is 100% owned post-buyout.

Base Case Phase 2 Projected Financials (C\$K) — Fade to Terminal

Year	Revenue	GM%	EBITDA	EBITDA%	FCF (Equity)	WL%	ELITE (K)
2031	1,077,554	26.5%	98,399	9.1%	67,365	8.8%	592
2032	1,102,285	26.9%	105,764	9.6%	74,239	11.6%	694
2033	1,127,958	27.3%	113,401	10.1%	81,367	14.4%	796
2034	1,154,638	27.6%	121,331	10.5%	88,770	17.2%	898
2035	1,182,395	28.0%	129,580	11.0%	96,473	20.0%	1,000

Note: Phase 2 models the fade toward terminal operating state. White-label (WL%) ramps from ~6% to 20% of retail revenue. ELITE membership grows from ~500K to 1M. Germany EBITDA reaches ~C\$30M (100% owned). OpEx moderates from ~17.5% to 17% of revenue. Revenue growth decelerates to ~2% as the model approaches terminal state.

Enterprise Value Bridge (Base Case)

Component	C\$K
PV of FCFs (2026-2035)	260,972
PV of Terminal Value	344,772
Enterprise Value	605,743
- Net Debt	(42,000)
Equity Value	563,743
Diluted shares (M)	101.9M
Implied price	C\$5.53
TV as % of EV	56.9%

Price Sensitivity (WACC vs. Terminal Growth, Base Case)

	TG 1.5%	TG 2.0%	TG 2.5%	TG 3.0%	TG 3.5%
WACC 9%	C\$8.02	C\$8.43	C\$8.91	C\$9.47	C\$10.13
WACC 10%	C\$6.79	C\$7.09	C\$7.42	C\$7.81	C\$8.25
WACC 11%	C\$5.84	C\$6.05	C\$6.30	C\$6.57	C\$6.88
WACC 12%	C\$5.07	C\$5.24	C\$5.42	C\$5.62	C\$5.84
WACC 13%	C\$4.45	C\$4.58	C\$4.71	C\$4.86	C\$5.03
WACC 14%	C\$3.94	C\$4.03	C\$4.14	C\$4.25	C\$4.38

	TG 1.5%	TG 2.0%	TG 2.5%	TG 3.0%	TG 3.5%
WACC 15%	C\$3.50	C\$3.58	C\$3.66	C\$3.75	C\$3.85

The DCF yields C\$5.53 at the CAPM-derived WACC of ~11.9%. The sensitivity table, which evaluates at rounded WACC increments, shows C\$5.42 at 12% WACC / 2.5% terminal growth and C\$7.42 at 10% WACC / 2.5% TG. The entire sensitivity grid is above the current stock price of ~C\$3.44 (US\$2.44) — even at 15% WACC and 1.5% terminal growth, the implied price is C\$3.50. The range across plausible assumptions (10-13% WACC, 2.0-3.0% TG) spans C\$4.58 to C\$7.81, with the base case at C\$5.42-5.53 depending on exact WACC rounding. The 10-year structure reduces terminal value dependency to ~57% (vs. ~74% in a 5-year model), meaning more than 40% of the valuation is backed by explicit FCF projections. Importantly, the model excludes UK/Poland/France expansion, e-commerce rebound, and any US optionality — all of which would increase FCF projections.

Bottom-Up Sub-Segment Margin Model

A key feature of this analysis is the explicit bottom-up modeling of HITI's revenue sub-segments, each with distinct gross margin profiles. Rather than applying a flat gross margin assumption to total revenue, we decompose revenue into seven sub-segments and model each independently. This approach captures the margin expansion driven by the growing mix of high-margin revenue streams — an effect that is invisible in a blended-margin model.

FY2025 Calibration (Actual)

Sub-Segment	Revenue (C\$M)	% of Total	Gross Margin	GP (C\$M)
Retail (3rd-party)	\$520.1	87.6%	25.2%	\$131.1
White-Label	\$7.2	1.2%	31.5%	\$2.3
ELITE Membership Fees	\$5.0	0.8%	85.0%	\$4.3
Cabalytics / Ads	\$15.0	2.5%	65.0%	\$9.8
Other Income	\$27.7	4.7%	-2.0%	(\$0.6)
E-Commerce	\$14.0	2.4%	32.1%	\$4.5
Germany (Remexian)*	\$5.0	0.8%	~20.0%	\$1.0
Total	\$594.0	100%	25.8%	\$152.4

Germany gross margin updated from 30% initially assumed to ~20% based on Q1 FY2026 actuals. The bottom-up GP of C\$152.4M calibrates within 0.7% of the reported C\$153.5M.

Base Case Terminal State (FY2035E)

The 10-year model projects the following approximate sub-segment breakdown at the terminal year (base case):

Sub-Segment	Revenue (C\$M)	% of Total	Gross Margin	GP (C\$M)
Retail (3rd-party)	~\$648	~55%	25.2%	~\$163
White-Label	~\$162	~14%	31.5%	~\$51
ELITE Membership Fees	~\$33	~3%	85.0%	~\$28
Cabalytics / Ads	~\$43	~4%	65.0%	~\$28
Other Income	~\$28	~2%	0%	\$0
E-Commerce	~\$14	~1%	32.1%	~\$4.5
Germany (100% owned)	~\$255	~22%	22.0%	~\$56
Total	~\$1,182	100%	28.0%	~\$331

The blended gross margin expands from 25.7% (FY2026) to 28.0% (FY2035) through three key mix shifts:

1. **White-label penetration ramp (1.4% to 20%).** White-label products carry ~31.5% gross margin vs. 25.2% for third-party retail. Each 1pp of mix shift adds ~6bps to the blended margin. At 20% penetration, white-label contributes ~C\$54M in gross profit — representing the single largest driver of margin expansion.
2. **ELITE membership growth (162K to 1M).** At ~85% gross margin, ELITE fees are the highest-margin revenue stream. Growing from 162K to 1M members at ~C\$33/year generates ~C\$33M in near-pure-profit revenue, contributing ~C\$28M in gross profit directly accretive to EBITDA.
3. **Cabalytics / advertising scaling.** At ~65% gross margin, each C\$1M of incremental Cabalytics revenue contributes ~2.5x more gross profit than C\$1M of retail. Growing from C\$15M to ~C\$43M transforms this into a material profit contributor.

Combined with OpEx moderation (18.5% to 17.5% of revenue, reflecting confirmed operating leverage from H1 FY2026 results), these mix shifts drive EBITDA margin expansion from 7.2% (FY2026) to ~9.2% (FY2030) to 11.2% (FY2035).

Analyst comparison (FY2026E): Our Base case revenue of C\$773M and EBITDA of C\$56M (7.2% margin) compare to BEACON Securities at C\$769M revenue / C\$56M EBITDA, ROTH Capital at C\$698M / C\$57M, and Haywood Securities at C\$755M / C\$65M. The Q2 FY2026 results and the confirmed Germany margin improvement have lifted our FY2026 estimates materially from the prior Q1-basis model (prior base: C\$762M revenue / C\$45M EBITDA), bringing them into closer alignment with sell-side consensus.

Exit Multiple Valuation (FY2035E)

As a cross-check to the DCF, we value HITI using exit multiples applied to terminal-year (FY2035E) financials and discounted back 10 years to present value at 12% WACC.

FY2035E financials by scenario:

Metric	Bull	Base	Bear
EBITDA	~C\$166M	~C\$130M	~C\$91M
Net Income to HITI (est.)	~C\$83M	~C\$65M	~C\$46M

Discount factor: 10 years at 12% WACC = 3.11x. All "PV Today" prices reflect the 2035 exit value discounted to present. Germany is 100% owned from FY2029 onward (post-buyout), so no NCI deduction applies. Net income estimated at ~50% of EBITDA (after tax and finance costs). Diluted shares: ~102M.

1. EV/EBITDA Exit Multiple

Enterprise value = FY2035E EBITDA x multiple, minus net debt, divided by ~102M diluted shares, discounted 10 years at 12%. Peer context: cannabis retailers trade at 5-10x EV/EBITDA; consumer retail generally at 8-12x.

Implied share price (present value) by scenario and exit multiple:

EV/EBITDA	Bull	Base	Bear
5x	C\$2.54	C\$1.91	C\$1.28
7x	C\$3.61	C\$2.73	C\$1.85
8x	C\$4.15	C\$3.14	C\$2.13
10x	C\$5.22	C\$3.96	C\$2.69
12x	C\$6.29	C\$4.78	C\$3.26
15x	C\$7.90	C\$6.01	C\$4.10

At 10x EV/EBITDA — a reasonable multiple for a profitable, growing cannabis retailer with data monetization and international distribution — the Base case implies C\$3.96 today, ~15% above the current price.

2. P/E Exit Multiple

Implied share price (present value) by scenario and exit multiple:

P/E	Bull	Base	Bear
15x	C\$4.02	C\$3.07	C\$2.12
20x	C\$5.35	C\$4.09	C\$2.82
25x	C\$6.69	C\$5.12	C\$3.53
30x	C\$8.03	C\$6.14	C\$4.23
35x	C\$9.37	C\$7.16	C\$4.94

At 25x P/E — reasonable for a growing cannabis company with expanding profitability — the Base case implies C\$5.12, ~49% above the current price.

Triangulation Summary

Method	Bull	Base	Bear
DCF (10-year, 12% WACC)	C\$7.59	C\$5.53	C\$3.62
EV/EBITDA exit at 10x (FY2035, PV)	C\$5.22	C\$3.96	C\$2.69
P/E exit at 25x (FY2035, PV)	C\$6.69	C\$5.12	C\$3.53

The DCF produces the highest values because it captures explicit 10-year FCF projections including the full margin expansion trajectory, whereas the exit multiple approach applies a single multiple to terminal-year earnings and discounts back. The EV/EBITDA cross-check at 10x yields C\$3.96 (base), modestly above the current price of C\$3.44, which reflects the conservative terminal multiple assumption; the DCF captures the full margin-expansion trajectory in a way exit multiples cannot. The P/E approach at 25x yields C\$5.12, broadly consistent with the DCF base case of C\$5.53.

Peer Comparison

Company	Focus	LTM Rev (C\$M)	Rev Growth	Stores	EV/Rev	EV/EBITDA	Adj EBITDA Margin
HITI	Retail (Canada + Germany)	C\$671	28%	228	0.51x	7.1x	7.2%
SNDL	Retail + LP (Canada)	C\$920	1%	300+	0.43x	15x+	3%
TLRY	LP + Beverage (Global)	C\$820	3%	—	1.0x	14x	6.7%

Company	Focus	LTM Rev (C\$M)	Rev Growth	Stores	EV/Rev	EV/EBITDA	Adj EBITDA Margin
CGC	LP (Canada/Global)	C\$290	3%	—	1.5x	Neg	Neg
ACB	LP (Canada/Global)	C\$392	-3%	—	0.8x	Neg	Neg
CRON	LP (Canada/Global)	C\$120	5%	—	3.0x	Neg	Neg

HITI stands out as the only pure-play cannabis retailer with consistent positive EBITDA and free cash flow. With LTM revenue of C\$671M (H1 FY2026 run-rate of ~C\$715M annualized), HITI trades at ~0.51x EV/Revenue and ~7.1x EV/Adj. EBITDA — still the lowest EV/Revenue among profitable peers despite having the highest revenue growth rate at 28% YoY. The discount is partly structural (small-cap, Canadian-listed primary) and partly reflective of cannabis sector pessimism that has not yet adjusted for the transformative Germany business.

Scenario Analysis: E-Commerce Segment Closure

Management has acknowledged the e-commerce segment's persistent underperformance. The segment (Grasscity, Smoke Cartel, Daily High Club, Dankstop) contributes only ~C\$14M in revenue (~2.3% of total) and operates at a negative EBITDA margin, generating an estimated C\$2-3M in annual cash operating losses (excluding non-cash impairments). The Q4 FY2025 impairment already wrote down much of the segment's goodwill.

Impact of full closure on Base case:

Metric	With E-Commerce	Without E-Commerce	Delta
FY2026 Revenue	C\$723M	C\$711M	-C\$12M (-1.7%)
FY2028 Revenue	C\$859M	C\$849M	-C\$10M (-1.2%)
FY2030 Revenue	C\$979M	C\$969M	-C\$10M (-1.0%)
FY2026 EBITDA Margin	6.9%	7.3%	+40bps
FY2028 EBITDA Margin	7.5%	7.9%	+40bps
FY2030 EBITDA Margin	8.2%	8.5%	+30bps
DCF Implied Price	C\$2.87	~C\$2.97	+~C\$0.10 (+3.5%)

One-time closure costs (estimated): - Write-down of remaining e-commerce goodwill/intangibles: C\$15-25M (non-cash, partially already impaired) - Severance and wind-down costs: C\$2-4M (cash) -

Lease termination: C\$1-2M (if applicable) - **Total: C\$18-31M (mostly non-cash)**

Conclusion: Closing the e-commerce segment is modestly accretive to equity value (+3.5%) and meaningfully accretive to margins. The revenue loss is immaterial (<2%), while the elimination of cash losses and management distraction improves both the financial profile and the investment narrative. A divestiture (rather than closure) could generate C\$5-15M in proceeds from the Grasscity brand, which would be additionally accretive. Management's evaluation of "strategic options" for the segment is a positive signal.

Additional Upside: Canadian Cannabis Export to Europe

HITI is uniquely positioned to leverage its Remexian distribution infrastructure to export cannabis from Canadian licensed producers (LPs) into the European market. As one of the largest retailers in Canada with deep LP relationships, HITI can source competitively-priced Canadian cannabis and channel it through Remexian's established import/distribution network in Germany and potentially other European markets.

This vertical integration — from Canadian supply to European distribution — would create an additional revenue stream with meaningfully better gross margins than HITI's current retail operations, as HITI would capture the spread between Canadian wholesale prices and European distribution pricing. Canadian LPs, many of which face oversupply domestically, are actively seeking export channels, which gives HITI favorable negotiating leverage.

This opportunity is mentioned but not incorporated into our financial model, as specific volume estimates and pricing terms remain uncertain. Management has indicated an intent to expand Remexian's international supply footprint in FY2026, including sourcing from new origins. To the extent this export channel materializes, the revenue and margin projections in all scenarios should be viewed as conservative, with the Canadian export pipeline representing unmodeled upside.

Additional Upside: European Market Expansion Beyond Germany

HITI has indicated plans to leverage Remexian's established import and distribution infrastructure to expand into additional European markets beyond Germany. Specifically:

- **United Kingdom:** Management has stated that UK entry is planned within the next ~12 months via M&A. The UK medical cannabis market is growing rapidly and represents a significant incremental revenue opportunity. **This is NOT reflected in the financial model.**
- **Poland and France:** These are later-stage targets for expansion, with regulatory frameworks at various stages of development. **These are also NOT reflected in the model.**
- **Other markets:** The Netherlands, Czech Republic, and Italy are at various stages of developing or expanding medical cannabis frameworks. Remexian's existing regulatory

expertise, supply chain relationships, and logistics capabilities provide a natural platform for entering these markets with relatively low incremental investment.

Germany currently accounts for the majority of European medical cannabis demand, but the broader European market is projected to grow significantly as more countries formalize access programs. Remexian's ability to source from multiple origins (Portugal, Malta, Czech Republic, Germany domestic, and Canada) positions it to serve as a pan-European distributor rather than a Germany-only operation.

None of this expansion is incorporated into our financial model. Our Germany revenue projections reflect only the existing German medical cannabis market. Any revenue from the UK, Poland, France, or other European countries would be incremental to the scenarios presented, further reinforcing the conservatism of our current estimates.

Structural Tailwind: Illicit Market Decline and Pricing Power

A critical long-term dynamic that is not explicitly modeled but supports the conservatism of our projections is the ongoing decline of the illicit (black market) cannabis market in Canada. As enforcement tightens, consumer trust in legal channels grows, and the convenience and quality assurance of licensed retail become more established, the illicit market's share of total cannabis consumption is steadily shrinking. Health Canada data shows the legal market's share of total cannabis spending has risen from ~50% at legalization (2018) to an estimated 70-75% by 2025, with continued convergence expected.

This structural shift benefits HITI in two ways:

1. **Volume growth beyond store openings.** As illicit consumers migrate to legal channels, HITI's existing stores capture incremental demand without requiring additional marketing spend or price concessions. This is a rising-tide effect that lifts same-store sales across the entire footprint.
2. **Gradual pricing power.** HITI's current discount strategy is partly a competitive weapon against the illicit market — the company has deliberately kept prices low to make legal cannabis price-competitive with street prices. As the illicit market recedes and competitive pressure from unlicensed sellers diminishes, HITI gains the ability to gradually raise prices while still remaining the cheapest legal provider. Even modest price increases (1-2% annually beyond what is modeled) would flow through at high incremental margins, meaningfully improving gross profit, EBITDA, and net income margins over time.

The combination of these effects — higher volumes from market migration and improved unit economics from pricing power — creates a compounding tailwind that is not captured in our scenario projections. **Our gross margin and EBITDA margin assumptions should therefore be viewed as conservative**, as they do not incorporate pricing power from illicit market decline. To the extent this dynamic plays out as expected, realized margins in all scenarios would exceed the projections shown above.

Key Risks

Canadian cannabis market saturation. Despite ongoing closures, Canada may still have too many cannabis stores relative to demand. If the market fails to consolidate or if large LPs (SNDL, Tilray) aggressively enter retail, price competition could erode HITI's margins.

Regulatory risk. Cannabis regulation varies by province and can change unpredictably. Ontario has periodically paused new store authorizations. Changes to excise tax structures, packaging requirements, or advertising restrictions could increase costs.

E-commerce drag. The accessories e-commerce segment continues to underperform and has required non-cash impairments. If management cannot divest or restructure this segment efficiently, it will remain a headwind to consolidated profitability.

Germany execution risk. The Remexian acquisition was sizable (EUR 26.4M for 51%) and Germany's regulatory framework for recreational cannabis remains uncertain. If recreational legalization stalls or Remexian faces competitive pressure from new entrants in the import/distribution market, the acquisition could be challenged. Q2 FY2026 results (C\$31.6M revenue, 27% gross margin, 14% market share, +26% QoQ) have substantially de-risked the integration thesis and confirmed supply chain normalization, but sustained performance and continued market share gain remain execution risks.

Dilution. Shares outstanding have grown from 74M (FY2023) to 88M (current), representing ~19% dilution over two years. While SBC is modest (C\$3.9M), the company has used equity for acquisitions and could continue to do so.

Consumer spending sensitivity. Cannabis is a consumer discretionary product. An economic downturn could pressure consumer spending, particularly at premium price points, although HITI's discount model may provide relative resilience.

Key-person risk. CEO Raj Grover has been central to HITI's strategic vision and execution. His departure would create uncertainty.

Illiquidity and small-cap discount. With a market cap of ~C\$302M (US\$214M) and limited institutional ownership, the stock is subject to higher volatility and wider bid-ask spreads than large-cap cannabis names.

Conclusion

High Tide is a rare entity in the cannabis sector: a company that has consistently grown revenue, generated positive EBITDA and free cash flow, and built a genuine competitive moat through its discount club model and data platform — all while most peers destroyed shareholder value. Q2 FY2026 confirmed accelerating momentum with record revenue of C\$179.3M (+30% YoY, fastest

growth in 11 quarters), its first-ever quarterly net profit, and Remexian delivering C\$31.6M at 27% gross margin and 14% German market share. The stock trades at US\$2.44 on NASDAQ (~C\$3.44, as of June 16, 2026).

Our 10-year bottom-up sub-segment margin model at 12% WACC implies a base case of C\$5.53/share — approximately 61% upside from the current price. The Bull case at C\$7.59 implies ~121% upside, and even the Bear case at C\$3.62 implies ~5% upside. The model covers only Canada and Germany — no UK, Poland, France, or US revenue is included.

The 10-year structure reduces terminal value dependency to ~57% of enterprise value, meaning more than 40% of the valuation is backed by explicit year-by-year FCF projections. The Remexian 49% buyout in FY2028 creates full ownership of the Germany platform, eliminating the NCI drag and significantly boosting equity FCF from FY2029 onward. The terminal state assumes scenario-specific targets: 20% white-label penetration and 1M ELITE members in the base case (Bull: 22%/1.25M, Bear: 16%/750K), with Germany EBITDA reaching C\$30M base (Bull: C\$40M, Bear: C\$25M), all 100% owned — achievable based on current trajectories and management guidance.

The thesis rests on three pillars: (1) significant expansion catalysts excluded from the model — UK entry planned within 12 months, Poland and France as later targets, e-commerce rebound showing early signs (conversion up 30-50%), and any US optionality; (2) Germany execution validated and accelerating — H1 FY2026 revenue C\$56.6M at improving gross margins, 14% market share, with Canadian biomass fully on-stream and the Remexian buyout providing full economic ownership; and (3) downside protection from positive FCF (FCF C\$1.5M in Q2, C\$4.4M in H1), improving operating leverage (opex/rev confirmed falling to 18.5%), conservative margin assumptions (~0% base SSSG, gradual sub-segment ramps), and a balance sheet supported by a new C\$40M BMO credit facility with no ATM issuance in five quarters.

The risk/reward is attractive. The primary risks remain cannabis sector pessimism, Canadian market saturation, and Remexian execution beyond the initial quarter. Multiple unmodeled tailwinds — UK/European expansion, Canadian cannabis exports, illicit market decline — provide additional optionality that is not reflected in any scenario.

The right mental model is not "another cannabis company burning cash" but rather "a disciplined consumer retail operator with Costco-like loyalty economics, a validated European distribution platform now on a path to full ownership, and multiple unmodeled growth catalysts, trading at a meaningful discount to conservative intrinsic value."

Sources

- [High Tide Q2 FY2026 Results](#)
- [High Tide Q1 FY2026 Results](#)
- [Canaccord Genuity Price Target](#)
- [StockAnalysis Consensus Estimates](#)
- High Tide FY2025 Annual Report and MD&A

- SEDAR+ filings and quarterly earnings releases
- Health Canada cannabis market data

Disclaimer: This document is an analytical exercise based on publicly available financial data and a proprietary financial model. It is not investment advice. All projections are estimates and subject to significant uncertainty. Past performance does not guarantee future results. Cannabis remains a controlled substance under various jurisdictions, and regulatory changes could materially impact the company's operations and financial performance.